Block practice · Partnerships

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Should a trader form a partnership (or an LLP)?

Why partners get interest, salaries and loan interest

Partnership appropriation account

Partners' current and capital accounts

OLevels.com SCHOOL

Practice workbook · Should a trader form a partnership (or an LLP)?

Advantages and drawbacks of trading as or forming a partnership, admitting a partner, and the extra protection of a limited liability partnership.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-01

1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

1 Gurpreet, a sole trader, provided the following trial balance at 31 December 2019.

	Debit $	Credit $
Allowance for doubtful debts		750
Bank	3 000	
Drawings	10 000	
Equity		60 000
Inventory	15 000	
Motor vehicles – accumulated depreciation		25 000
Motor vehicles – cost	50 000	
Office expenses	16 780	
Purchases	45 920	
Revenue		81 385
Trade payables		3 515
Trade receivables	5 575	
Wages	24 375	
Total	170 650	170 650

Additional information

1. During the year ended 31 December 2019, a motor vehicle that was purchased during 2014 for $10 000, was sold for $5 760. This has not yet been recorded in the books. Depreciation is charged on motor vehicles at 10% per annum using the straight line method. A full year's depreciation is charged in the year of acquisition and none in the year of disposal.
2. At 31 December 2019:
   - inventory was valued at $12 000
   - wages owing were $1 125
   - office expenses paid in advance were $1 280
3. A debt of $575 should be written off as irrecoverable and the allowance for doubtful debts is maintained at 12% of trade receivables.

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2

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1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2019.

(20)

Gurpreet
Income statement for the year ended 31 December 2019

OLevels.COM SCHOOL

1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

Gurpreet is considering forming a partnership with another sole trader.

(b) Evaluate whether Gurpreet should form a partnership.

(5)

(Total for Question 1 = 25 marks)

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1. Question 1 · part b · 5 marks · Working and answer

Working and answer

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2. Question 12 · part b · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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12 (a) Identify, indicating with a tick (✓), which is a characteristic of **each** type of organisation.

(3)

Characteristic	Private sector	Public sector
Makes a profit		
Funded by the government		
Provides a service to the community		

(b) State **two** advantages of trading as a partnership.

(2)

1 .....

.....

2 .....

.....

(Total for Question 12 = 5 marks)

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Working and answer

3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity. (1)

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8

P 6 2 0 3 2 A 0 8 1 2

3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.



(f) Evaluate whether a sole trader should form a partnership.

(5)

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(Total for Question 2 = 25 marks)

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3. Question 2 · part f · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part a · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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P 6 6 4 7 0 R A 0 6 1 2

4. Question 2 · part a · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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4. Question 2 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

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(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

OLevels.COM SCHOOL

5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

(ii) Prepare the appropriation account for the year ended 31 March 2024.

(5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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P 7 5 8 3 9 A 0 4 1 2

5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

The partners are considering introducing a third partner.

(b) Explain to the partners the advantages and disadvantages of this proposal, advising them whether they should proceed with the introduction of a third partner.

(5)

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(Total for Question 1 = 25 marks)

5. Question 1 · part b · 5 marks · Working and answer

Working and answer

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6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

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2 Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

(2)

1 .....

.....

2 .....

.....

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6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

The partnership provided the following information for the year ended 30 June 2024.

	$
Carriage inwards	42 500
Direct expenses	26 950
Direct factory wages	127 500
Factory overheads	138 000
Factory supervisor's salary	45 000
Insurance paid	34 000
Inventory at 1 July 2023	
Raw materials	68 000
Work in progress	85 278
Finished goods	125 000
Inventory at 30 June 2024	
Raw materials	72 000
Work in progress	96 750
Finished goods	145 000
Non-current assets	
– Cost	200 000
– Provision for depreciation	120 000
Office expenses	232 000
Office salaries	97 000
Purchase of raw materials	550 000
Rent and rates paid	190 000
Revenue	1 787 500

Additional information

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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P 7 5 9 4 2 A 0 8 1 2

6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

(13)

Haitai and Ming
Manufacturing account for the year ended 30 June 2024

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6. Question 2 · part a · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

2 Victoria and Albert are in partnership, sharing profits and losses equally. Their partnership agreement also provides for interest on capital and interest on drawings at 5% per annum, a salary for Victoria of $1 000 per month and no interest on partnership loans.

On 30 April 2025, they provided the following trial balance after the preparation of the income statement for the year.

Victoria and Albert
Trial Balance at 30 April 2025

	Debit $	Credit $
Allowance for doubtful debts		500
Bank		10 570
Capital accounts at 1 May 2024		
– Victoria		50 000
– Albert		30 000
Closing inventory	14 320	
Current accounts at 1 May 2024		
– Victoria		3 500
– Albert	2 300	
Drawings		
– Victoria	1 800	
– Albert	1 200	
Fixtures and fittings		
– Cost	50 000	
– Provision for depreciation		10 000
Land and buildings (valuation)	100 000	
Motor vehicles		
– Cost	30 000	
– Provision for depreciation		15 000
Other receivables and other payables	350	650
Partnership loan – Albert (repayable December 2025)		8 000
Petty cash	250	
Profit for the year		80 000
Trade receivables and trade payables	20 000	12 000
	220 220	220 220

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

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(a) Prepare the appropriation account for the year ended 30 April 2025.

(5)

Victoria and Albert
Appropriation Account for the year ended 30 April 2025

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2025.

(15)

Victoria and Albert
Statement of Financial Position at 30 April 2025

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

Victoria and Albert are considering inviting Anne to join the partnership and changing their business structure to a limited liability partnership (LLP).

(c) (i) Explain **one** advantage to the partnership of forming a limited liability partnership.

(2)

(ii) Explain **one** reason why the partnership should account for goodwill when a new partner joins an existing partnership.

(3)

(Total for Question 2 = 25 marks)

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7. Question 2 · part c.i · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Why partners get interest, salaries and loan interest

The reason for interest on capital, interest on drawings, salaries and partner loans, and why partnerships need appropriation, capital and current accounts.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-03

1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

Disadvantage

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

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(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

OLevels.COM SCHOOL

1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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1. Question 2 · part f.i · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f.i only.

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(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

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Working and answer

2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

Disadvantage

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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2. Question 2 · part f.ii · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part f.ii only.

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(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

OLevels.com SCHOOL

Working and answer

3. Question 2 · part a.i · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

.....

.....

(ii) interest on drawings

(1)

.....

.....

(iii) partnership salary.

(1)

.....

.....

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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3. Question 2 · part a.i · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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4. Question 2 · part a.ii · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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Turn over ▶

5. Question 2 · part a.iii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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P 7 2 9 4 6 A 0 6 0 8

5. Question 2 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

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The partners provided the following information.

At 1 January 2022	$
Capital account	
Joan	85 000
Lewis	75 000
Current account	
Joan	2 760
Lewis	3 900
Partnership loan	
Lewis	10 000
At 31 December 2022	
Cash drawings	
Joan	5 000
Lewis	7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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6. Question 2 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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6. Question 2 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity. (1)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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7. Question 2 · part e · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(f) Evaluate whether a sole trader should form a partnership.

(5)

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(Total for Question 2 = 25 marks)

7. Question 2 · part e · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Partnership appropriation account

Sharing profit for the year between partners, sometimes after correcting a draft profit first.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-04

1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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P 7 2 9 4 6 A 0 6 0 8

1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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P 7 2 9 4 6 A 0 7 0 8

1. Question 2 · part b · 8 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part a · 7 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

OLevels.com SCHOOL

2. Question 2 · part a · 7 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

.....

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P 6 3 0 1 2 A 0 6 0 8

2. Question 2 · part a · 7 marks · Working and answer

Working and answer

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3. Question 1 · part a · 5 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

1 Muneeb and Javeed are in partnership sharing profits and losses in the ratio of 2:1.

The partnership agreement provides for:

- interest on capital at 10% per annum
- an annual salary of $12 000 for Muneeb.

The partners provided the following information for the year ended 31 March 2020.

1 April 2019	**$**
Capital account Muneeb Javeed	 100 000 50 000
Current account Muneeb Javeed	 5 750 Dr 2 800
31 March 2020	
Allowance for irrecoverable debts	3 000
Cash and cash equivalents	1 145
Inventory	46 475
Other payables	600
Other receivables	1 040
Non-current assets – carrying value	100 000
Trade payables	25 850
Trade receivables	34 590
Drawings for the year Muneeb Javeed	 42 500 28 750

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P 6 2 4 4 8 A 0 2 1 2

3. Question 1 · part a · 5 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

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(a) Prepare the appropriation account for the year ended 31 March 2020.

(5)

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		**78 000**

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(b) Prepare the current account of Muneeb for the year ended 31 March 2020.
Balance the account on that date and bring the balance down on 1 April 2020.

(6)

Current Account – Muneeb

Date	Details	$	Date	Details	$

3. Question 1 · part a · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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P 6 6 4 7 0 R A 0 6 1 2

4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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P 6 6 4 7 0 R A 0 8 1 2

4. Question 2 · part b · 8 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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P 7 1 5 7 5 A 0 8 1 2

5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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5. Question 2 · part a · 8 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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The partners provided the following information.

At 1 January 2022	$
Capital account	
Joan	85 000
Lewis	75 000
Current account	
Joan	2 760
Lewis	3 900
Partnership loan	
Lewis	10 000
At 31 December 2022	
Cash drawings	
Joan	5 000
Lewis	7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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(d) Prepare the current account of Lewis for the year ended 31 December 2022. Balance the account on this date and bring the balance down on 1 January 2023.

(8)

Current Account – Lewis

Date	Details	$	Date	Details	$

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(Total for Question 2 = 25 marks)

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6. Question 2 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

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(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

OLevels.COM SCHOOL

P 7 5 8 3 9 A 0 3 1 2

7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

(ii) Prepare the appropriation account for the year ended 31 March 2024. (5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

The partners are considering introducing a third partner.

(b) Explain to the partners the advantages and disadvantages of this proposal, advising them whether they should proceed with the introduction of a third partner.

(5)

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(Total for Question 1 = 25 marks)

7. Question 1 · part a.ii · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Victoria and Albert are in partnership, sharing profits and losses equally. Their partnership agreement also provides for interest on capital and interest on drawings at 5% per annum, a salary for Victoria of $1 000 per month and no interest on partnership loans.

On 30 April 2025, they provided the following trial balance after the preparation of the income statement for the year.

Victoria and Albert
Trial Balance at 30 April 2025

	Debit $	Credit $
Allowance for doubtful debts		500
Bank		10 570
Capital accounts at 1 May 2024		
– Victoria		50 000
– Albert		30 000
Closing inventory	14 320	
Current accounts at 1 May 2024		
– Victoria		3 500
– Albert	2 300	
Drawings		
– Victoria	1 800	
– Albert	1 200	
Fixtures and fittings		
– Cost	50 000	
– Provision for depreciation		10 000
Land and buildings (valuation)	100 000	
Motor vehicles		
– Cost	30 000	
– Provision for depreciation		15 000
Other receivables and other payables	350	650
Partnership loan – Albert (repayable December 2025)		8 000
Petty cash	250	
Profit for the year		80 000
Trade receivables and trade payables	20 000	12 000
	220 220	220 220

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O1 Levels.com SCHOOL

8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the appropriation account for the year ended 30 April 2025.

(5)

Victoria and Albert
Appropriation Account for the year ended 30 April 2025

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7

Turn over ▶

8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2025.

(15)

Victoria and Albert
Statement of Financial Position at 30 April 2025

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8. Question 2 · part a · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 9 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 What are the entries to record interest on a partner's loan?

		Account to be debited	Account to be credited
☒	**A**	Appropriation	Current
☒	**B**	Current	Appropriation
☒	**C**	Current	Income statement
☒	**D**	Income statement	Current

(Total for Question 9 = 1 mark)

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Working and answer

OLevels.com SCHOOL

Practice workbook · Partners' current and capital accounts

Writing up a partner's current account (and capital account where asked) from the appropriation figures and drawings, and interpreting its balance.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-05

1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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OLevels.com SCHOOL

8

P 7 1 5 7 5 A 0 8 1 2

1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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OLevels.com SCHOOL

1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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P 7 1 5 7 5 A 0 1 0 1 2

1. Question 2 · part b.i · 8 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 8 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

8 Which account will partnership drawings be debited to?

- ☒ **A** Appropriation
- ☒ **B** Bank
- ☒ **C** Capital
- ☒ **D** Current

(Total for Question 8 = 1 mark)

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Working and answer

OLevels.com SCHOOL

3. Question 2 · part b.i · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

OLevels.com SCHOOL

3. Question 2 · part b.i · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

.....

.....

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OLevels.com SCHOOL

3. Question 2 · part b.i · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

1 Muneeb and Javeed are in partnership sharing profits and losses in the ratio of 2:1.

The partnership agreement provides for:

- interest on capital at 10% per annum
- an annual salary of $12 000 for Muneeb.

The partners provided the following information for the year ended 31 March 2020.

1 April 2019	**$**
Capital account Muneeb Javeed	 100 000 50 000
Current account Muneeb Javeed	 5 750 Dr 2 800
31 March 2020	
Allowance for irrecoverable debts	3 000
Cash and cash equivalents	1 145
Inventory	46 475
Other payables	600
Other receivables	1 040
Non-current assets – carrying value	100 000
Trade payables	25 850
Trade receivables	34 590
Drawings for the year Muneeb Javeed	 42 500 28 750

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4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

(a) Prepare the appropriation account for the year ended 31 March 2020.

(5)

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		**78 000**

(b) Prepare the current account of Muneeb for the year ended 31 March 2020.
Balance the account on that date and bring the balance down on 1 April 2020.

(6)

Current Account – Muneeb

Date	Details	$	Date	Details	$

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4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

The balance on Javeed's current account at 31 March 2020 was $3 950 **debit**.

(c) Prepare the statement of financial position at 31 March 2020.

(14)

Muneeb and Javeed
Statement of financial position at 31 March 2020

	$	$	$
Assets			
Non-current assets			
Current assets			
Total assets			
Equity and liabilities			
Equity	Muneeb	Javeed	
Total equity			
Current liabilities			
Total equity and liabilities			

(Total for Question 1 = 25 marks)

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4. Question 1 · part b · 6 marks · Working and answer

Working and answer

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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5. Question 2 · part c · 6 marks · Working and answer

Working and answer

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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6. Question 2 · part c · 8 marks · Working and answer

Working and answer

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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The partners provided the following information.

At 1 January 2022	$
Capital account Joan Lewis	 85 000 75 000
Current account Joan Lewis	 2 760 3 900
Partnership loan Lewis	 10 000
At 31 December 2022	
Cash drawings Joan Lewis	 5 000 7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Prepare the current account of Lewis for the year ended 31 December 2022. Balance the account on this date and bring the balance down on 1 January 2023.

(8)

Current Account – Lewis

Date	Details	$	Date	Details	$

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(Total for Question 2 = 25 marks)

7. Question 2 · part d · 8 marks · Working and answer

Working and answer

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

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8. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

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(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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9. Question 2 · part d · 1 mark · Working and answer

Working and answer

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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10. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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11. Question 2 · part b.iii · 1 mark · Working and answer

Working and answer

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